IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD

COURT - 2

ITEM No304

CP(CAA)/4(AHM)2023

in

CA(CAA)/62(AHM)2023

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Nakoda Cotton Industries Pvt Ltd **.....Applicant**

MGN Agro Properties Pvt Ltd

.....Respondent

Order delivered on 11/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)

Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
(COURT NO. II)

CP (CAA) 04/AHM/2023

IN

CA (CAA) 62/AHM/2022

(In the matter of Sections 230 read with Section 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013)

In the matter of Scheme of Amalgamation
OF

NAKODA COTTON INDUSTRIES PRIVATE LIMITED
(Petitioner Company No. 1/ Transferor Company)

WITH

MGN AGRO PROPERTIES PRIVATE LIMITED
(Petitioner Company No. 2/ Transferee Company)

Order Pronounced on: 11/07/2023

Coram:
MR. SHAMMI KHAN
HON'BLE MEMBER (JUDICIAL)

MR. AJAI DAS MEHROTRA
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

In the matter of:

Nakoda Cotton Industries Private Limited
(CIN: U17110GJ2004PTC045194)
Registered Office at:
Survey No.650, Welspun City
Village Versamedi, Taluka : Anjar,
District: Kutch, Gujarat – 370 110

… Petitioner Company No. 1/
Transferor Company

MGN Agro Properties Private Limited
(CIN: U51100GJ19994PTC081436)
Registered Office at:
Survey No.650, Welspun City
Village Versamedi, Taluka : Anjar,
District: Kutch, Gujarat – 370 110

… Petitioner Company No. 2/
Transferee Company

For the Petitioner : Ms. Dharmishtha Raval, Adv.
For the Income Tax : Ms. Pankti Shah, Adv.

O R D E R

1. This joint petition has been filed by the Petitioner Companies under Section 230 read with Section 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') seeking sanction of the scheme of amalgamation (hereinafter called the “Scheme”) of the Nakoda Cotton Industries Private Limited (for brevity referred as “Transferor Company”) with MGN Agro Properties Private Limited (for brevity referred as “Transferee Company”) with

effect from the 01/04/2022 being the Appointed Date as mentioned in the Scheme.

2. From the records, it is seen that the first motion application seeking directions for dispensation of the meeting of the equity shareholders, preference shareholders, secured and unsecured creditors of both the Petitioner Companies was allowed vide order dated 22.12.2022.

3. The 2nd motion joint petition was filed on 25.01.2023 and during the hearing on 07.02.2023, the Learned Counsel for the Petitioner Companies made an oral prayer that delay in filing second motion application be condoned. Considering the submissions, this Tribunal condoned the delay in filing the petition and admitted the petition directing issue of notices to the concerned statutory authorities and also directing publication in the newspapers 'Financial Express' in English, Ahmedabad Edition and 'Kutch Mitra' in Gujarati, Gujarat Daily Edition. The Petitioner Companies have filed respective compliance affidavits.

4. The Regional Director, North Western Region, MCA has filed common report on 29.03.2023, along with the report of RoC, Ahmedabad. They have sought following directions:

   i) As per the clause 2 (c) of the Report the scheme does not contain any provision for merging of authorized share capital of Transferor Company with authorized share capital of Transferee Company. The authorized share capital of the Transferor Company will not be

added in the authorized share capital of the Transferee Company. The Tribunal may direct the Petitioner Company to place on record all the relevant facts of the matter.

ii) As per the clause 2(e), the Petitioner Company undertake compliance of the accounting treatment according to Pooling of interest method and to place on record all the relevant facts of the matter.

iii) As per the index of charges available under the MCA's website, there are 02 open secured charges in favor of 02 secured charge holders. The details of aforesaid open charges IDs are as under:

Sr. No.	SRN	Charge ID	Charge Holder Name	Date of Creation	Date of Modification	Amount
1.	AA1017721	100616745	BAJAJ FINANCE LIMITED	20-09-2022	-	1000000000
2.	AA1156663	100598168	ADITYA BIRLA FINANCE LIMITED	27-07-2022	23-11-2022	1120000000
TOTAL						2120000000

Under the above circumstances, the Tribunal may direct the Transferee Company to place the fact on record and issue suitable directions as deemed fit and proper.

iv) The Transferee Company to undertake the compliance of section 232(3)(i) of the Companies Act, 2013 and to pay fees accordingly.

v) The Transferor Company to preserve its books of accounts, papers and records and shall not dispose of without prior permission of the Central Govt. as per the provision of the section 239 of the Companies Act, 2013.

vi) The Petitioner Companies to pay legal fees/cost to the central government.

vii) The Transferor Company to ensure statutory compliance of all applicable laws and also on sanctioning of the scheme, the Transferor Company shall not be absolved from any of its statutory liability, in any manner.

viii) The Petitioner Companies to pay necessary stamp duty on the transfer of property/assets to the respective authorities before implementation of the scheme.

5. The Official Liquidator, attached with the Hon'ble High Court of Gujarat has filed observations on 28.02.2023, seeking directions as follows:

i) The Petitioner Companies to place on records the status of the Authorized Share Capital of the Transferor Company and amendement in Clause V of the Transferee Company upon Scheme of Amalgamation coming into force along with amended Clause V, if any.

ii) The transferor company to preserve its books of accounts, papers and records and shall not dispose of them without prior permission of the

Central Govt. as per the provisions of Section 239 of the Companies Act, 2013.

iii) The transferor company to ensure statutory compliance of all applicable laws and also on sanctioning of the scheme, the transferor company shall not be absolved from any of its statutory liability, in any manner.

iv) The transferee company to undertake the compliance of section 232(3)(i) of the Companies Act, 2013.

v) The transferee company to pay such costs and expenses to the office of the official liquidator for the transferor companies or any such amount as may be considered appropriate by this Bench.

6. The Income Tax Department filed its report for both the Petitioner Companies which are as follows:

i) For the Transferor Company –

a) As per the ITBA system, no outstanding dues or any other Income Tax proceedings are pending for the Transferor Company and the Assessing Officer has no objection to the proposed amalgamation of companies.

ii) For the Transferee Company –

a) As per the record of the Dy. Commissioner of Income-tax, Central Circle-3(3), Mumbai, the assessment-wise analysis of the outstanding dues of the Transferee Company are as follows:

Sr. No.	A.Y.	Demand Under Section	Amount Collectible
1	**2017-18**	**153A**	**1664779**
2	**2018-19**	**154**	**1989984**
3	**2020-21**	**143(3)**	**10228426**

b) Further, no proceedings are pending against the Transferee Company.

7. The Petitioner Companies have filed a common affidavit in reply to the observations of Regional Director and ROC. The submissions made in above stated replies are as follows:

i) As per clause 2(c) of the RD report, the Petitioner Companies submits that the Transferee Company does not intend to combine the authorized share capital of the Transferor Company upon the Scheme coming into force.

ii) As per clause 2(e) of the RD report, the Petitioner Companies to undertake to follow pooling of Interest Method accounting treatment mentioned in the Scheme in accordance with the applicable accounting standards and accepted accounting policies.

iii) It is submitted that the Petitioner Transferee Company, as on 31st August, 2022, did not have any Secured Creditor as rightly disclosed in CA(CAA)/62(AHM)2022. However, after 31st August, 2022, the Transferee Company had borrowed loan which is secured, and has also created another charge in favour of the lender for borrowing by a Group Company. The copies of the relevant

documents are annexed with the reply alongwith no objection obtained by the Transferee Company from the Secured Creditors and charge holders of the Transferee Company as on date.

iv) It is also submitted that the Transferor Company undertakes to abide and comply by the terms of sub-section 3(i) of Section 232 of the Companies Act, 2013 to the extent required and applicable.

v) The Transferee Company gave undertaking to preserve the books of accounts, papers and records of the transferor company and not to dispose of the same without prior permission of the Central Govt. as per the provisions of section 239 of the Companies Act, 2013.

vi) The Petitioner Companies undertakes to ensure Statutory compliance of all applicable laws. Further, the Transferor Company undertakes that on sanctioning of the Scheme, it shall not be absolved from any of its statutory liabilities, in any manner.

vii) The Transferee Company gave undertaking to pay the necessary legitimate stamp duty on transfer of property/assets pursuant to the Scheme as and when they statutorily become due for payment.

viii) The Petitioner Companies undertakes to pay such legal fees/cost to the Central Government as may be considered appropriate by the Tribunal.

8. The Petitioner Companies have filed an affidavit in reply to the observations of the Official Liquidator. The submissions made in above stated replies are as follows:

i) The Petitioner Companies submits that the Transferee Company does not intend to combine the authorized share capital of the Transferor Company upon the Scheme coming into force and accordingly no amendment in Clause V of the Memorandum of Association of the Transferee Company is required.

ii) The Transferor Company undertakes to preserve its books of accounts, papers and records and the same shall not be disposed of without the prior permission of Central Government as per the provisions of section 239 of the Companies Act, 2013.

iii) The Transferor Company undertakes to ensure statutory compliances of all applicable laws. Further the Transferor Company undertakes that on sanctioning of the Scheme, it shall not be absolved from any of its statutory liabilities, in any manner.

iv) The Petitioner Companies undertakes to abide and comply by the terms of sub section 3(i) of Section 232 of the Companies Act, 2013, to the extent required and applicable.

v) The Petitioner Companies undertakes to pay such legal fees/cost to the office of Official Liquidator as is quantified and directed by the Tribunal

9. The Petitioner Companies have filed separate affidavit in reply to the observations of the Income Tax Department. The submissions made in above stated replies are as follows:

i) It is submitted that the Scheme of Amalgamation of Nakoda Cotton Industries Private Limited (Transferor Company) with MGN Agro Properties Private Limited (Transferee Company) and their respective shareholders involve the merger of a step-down wholly owned subsidiary with its holding company.

ii) It is submitted that Clause 9 of the Scheme provides continuity of the legal proceedings of the Transferor Company, if any, in the name of /by the Transferee Company.

iii) It is also submitted that since the Transferee Company continues to survive post the Scheme, there will be no impact of the Scheme on the pending litigation/proceedings, if any.

iv) It is further submitted that the Petitioner Companies will co-operate with the relevant authorities under the applicable laws in relation to the pending litigations/proceedings and also make necessary payment of legitimate dues in accordance with the applicable law as and when the liability to pay such dues materializes. Further, pursuant to the Scheme, there is no impact on the rights available to the relevant authorities and the stakeholders under the applicable law in relation to the pending litigations.

v) It is also submitted that the Scheme does not envisage any type of evasion or avoidance of the liabilities or dues.

10. As recorded in the order dated 11.04.2023, Ld. Assistant Director, Mr. Liladhar Sharma from the office of Regional Director stated that they do

not have any objection to the approval of the Scheme. Further, Learned Counsel for the Petitioner Companies stated that there is no objection in the report of OL.

11. It is also recorded in the order dated 13.06.2023 that Ld. Counsel Ms. Dharmishta Raval for the Petitioner Companies stated that the Transferee Company undertakes to pay the outstanding Income Tax demand as per the law. Further, Learned Counsel Ms. Pankti Shah for the Income Tax Department stated that subject to the statement made by Counsel for the Petitioner Company, she has no objection to approval of the Scheme.

12. Heard submissions and perused documents placed on record. We have perused the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, and no objections were given by the respective statutory authorities i.e., Regional Director and the Income Tax Department. With reference to the above facts and discussion, it appears that the requirements of the provisions of Section 230 and 232 are satisfied by the petitioner companies. It seems that the proposed Scheme of Amalgamation is bona fide and in the interest of the shareholders and creditors. Therefore, the petition is allowed and the Scheme annexed with the petition at annexure-A envisaging amalgamation of Nakoda Cotton Industries Private Limited with MGN Agro Properties Private Limited, is hereby sanctioned. It is declared that the said sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors and all concerned under the Scheme.

13. Notwithstanding the above, if any deficiency is found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioners.

14. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST etc., or any other charges or payment in accordance with the law, or any kind of waiver in respect of any permission/compliance with any other requirement which may be specifically required under any law. It is further clarified that Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme of Amalgamation given hereunder shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings.

15. **The Scheme is sanctioned with following directions:**

i) The Scheme of Amalgamation as annexed herewith as **"Annexure A**" is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

ii) It is declared that the Transferor Company shall be dissolved without winding up.

iii) All the properties mentioned in schedule as **"Annexure B"**, rights and powers of the Transferor Company specified in the schedule hereto and all the other properties, rights and powers of the Transferor Company be transferred without any further act or deed to the Transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, vest in the Transferee Company for all the estate and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same, if any.

iv) Issue of Shares

a) The entire Issued, Subscribed and Paid-up Share Capital of the Transferor Company is held by a wholly owned subsidiary of the Transferee Company.

b) The provisions of Section 19 of the Act prohibit a company to hold any shares in its holding company and also prohibit a holding company to allot or transfer its shares to any of its subsidiary companies.

c) Therefore, upon the Scheme becoming effective, no shares of the Transferee Company shall be allotted in lieu or exchange of the holding by Welspun Realty Private Limited (ie, a subsidiary of the Transferee Company) in the Transferor Company.

v) All proceedings, if any, now pending or to be initiated, by or against the Transferor Company shall be continued by or against the Transferee Company.

vi) All workers / employees of the Transferor Company shall be deemed to become the workers /employees of the Transferee Company with effect from the Appointed Date, and shall stand absorbed in the Transferee Company in accordance with the Scheme without any interruption of service and on terms and conditions no less favourable than those on which they are engaged by the Transferor Company, as on the Effective Date.

vii) The Petitioner Companies within thirty days of the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the entire Undertaking of the Transferor Company shall stand transferred to the Transferee Company and the Registrar of Companies shall place all documents relating to the Transferor Company to the file kept by him in relation to the Transferee Company and the files relating to the said two companies shall be treated accordingly.

viii) All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar of this Tribunal who shall issue the certified copy of this order along with the Scheme immediately.

ix) The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets of the transferor companies attached as Annexure-B with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of

Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

x) The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the concerned Registrar of Companies, electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

xi) The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Arrangement under Sections 230-232 of the Income Tax Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

xii) The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/-in respect of both the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company.

xiii) The legal fees and expenses of the office of the Official Liquidator are quantified at Rs.10,000/- in respect of the Transferor Company. The said fees to the Official Liquidator shall be paid by the Transferee Company.

xiv) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

16. The Company Petition CP (CAA) No. 04 of 2023 connected with CA (CAA) No. 62 of 2022 is allowed and disposed of, in terms of above order.

-Sd-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-
SHAMMI KHAN
MEMBER (JUDICIAL)

Abhishek Singh-LRA
Swetambary-Steno

Annexure "A" / Annexure – F

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SCHEME OF AMALGAMATION

OF

NAKODA COTTON INDUSTRIES PRIVATE LIMITED

("THE TRANSFEROR COMPANY")

WITH

MGN AGRO PROPERTIES PRIVATE LIMITED

("THE TRANSFEREE COMPANY")

AND

THEIR RESPECTIVE SHAREHOLDERS

(A) PREAMBLE

This Scheme of Amalgamation ("Scheme") is presented under section 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Act (as defined hereinafter) for amalgamation of Nakoda Cotton Industries Private Limited (as defined hereinafter) with MGN Agro Properties Private Limited (as defined hereinafter).

This Scheme also provides for various other matters consequential or otherwise integrally connected therewith.

(B) DESCRIPTION OF COMPANIES

I. Nakoda Cotton Industries Private Limited (CIN: U17110GJ2004PTC045194), a private limited company, incorporated under the Companies Act, 1956 having its registered office at Survey No. 650, Village Versamedi, Taluka Anjar, Dist. Kutch, Gujarat – 370110, is incorporated with its main objective to carry on the business of manufacturing, ginning, pressing, spinning, otherwise processing of man-made cotton, fibres, cotton fibres, fabrics of cotton, whether on handlooms or powerlooms.

II. MGN Agro Properties Private Limited (CIN: U51100GJ1999PTC081436), a private limited company, incorporated under the Companies Act, 1956 having its registered office at Survey No. 650, Village Versamedial, Anjar, Dist. Kutch, Gujarat – 370110, is engaged in the business of dealing in commodities of all kinds including yarn, cotton, textiles, fabrics, steel, pipes and substances, merchandise, goods, machinery, and holding of securities.

(C) RATIONALE OF THE SCHEME

The Scheme is expected to achieve the following benefits:

(i) Rationalise and streamline the structure;

(ii) Elimination of doubling of related costs, thereby reducing operational and administrative expenses and overheads, and lead to better cost and operational efficiencies;

(iii) Reducing the multiplicities of legal and regulatory compliances; and

(iv) Greater management focus by streamlining the operations.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

(D) PARTS OF THE SCHEME:

The Scheme is divided into the following parts:

(i) CHAPTER I deals with the definitions and share capital;

(ii) CHAPTER II deals with amalgamation of Nakoda Cotton Industries Private Limited with MGN Agro Properties Private Limited; and

(iii) CHAPTER III deals with general clauses, terms and conditions applicable to the Scheme.

CHAPTER I

DEFINITIONS AND SHARE CAPITAL

1. DEFINITIONS

In this Scheme (as defined hereunder), unless inconsistent with the subject or context, the following expressions shall have the following meaning:

1.1. **"Act"** means the Companies Act, 2013, the rules and regulations made thereunder and will include any statutory modification or re-enactment thereof for the time being in force.

1.2. **"Appointed Date"** means April 1, 2022.

1.3. **"Board of Directors"** means the Board of Directors of the Transferor Company or the Transferee Company as the context may require and includes a committee thereof.

1.4. **"Effective Date"** means the last date on which the certified copy of the order sanctioning this Scheme, passed by the Tribunal or such other competent authority, as may be applicable, is filed by the Transferor Company and the Transferee Company with the Registrar of Companies or such other authority as may be necessary for making the Scheme effective.

1.5. **"Scheme" or "the Scheme" or "this Scheme"** means the Scheme of Amalgamation of Nakoda Cotton Industries Private Limited ("the Transferor Company") with MGN Agro Properties Private Limited ("the Transferee Company) and their respective shareholders in its present form as submitted to the Tribunal for sanction including / with any modifications / amendments thereto / therein made under Clause 14 of the Scheme.

1.6. **"the Transferee Company"** means MGN Agro Properties Private Limited, a private limited company, having CIN: U51100GJ1999PTC081436, incorporated under the Companies Act, 1956 having its registered office at Survey No. 650, Village Versamedital, Anjar, dist. Kutch, Gujarat – 370110.

1.7. **"the Transferor Company"** means Nakoda Cotton Industries Private Limited which is a private limited company, having CIN: U17110GJ2004PTC045194, incorporated under the Companies Act, 1956 having its registered office at Survey No. 650, Village Versamedi, Taluka Anjar, Dist. Kutch, Gujarat – 370110.

1.8. **"Tribunal"** means the National Company Law Tribunal as constituted and authorized as per the provisions of the Act

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act, other

applicable laws, rules, regulations, bye-laws, as the case may be or any statutory modification or re-enactment thereof from time to time. 0430

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2. DATE OF TAKING EFFECT AND OPERATIVE DATE

2.1. The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the Tribunal or made as per Clause 14 of the Scheme, shall be effective from the Appointed Date but shall be operative from the Effective Date.

2.2. Any reference in this Scheme to "the Scheme becoming effective" or "upon the Scheme becoming effective" shall mean the Effective Date.

3. SHARE CAPITAL

3.1. The authorized, issued, subscribed and paid-up share capital of the Transferor Company as on 31 March, 2022 is as under:

Share Capital	Amounts in INR
Authorized Share Capital	
10,00,000 Equity Shares of Rs. 10/- each	1,00,00,000/-
TOTAL	1,00,00,000/-
Issued, Subscribed and paid-up Share Capital	
25,000 Equity Shares of Rs. 10/- each	2,50,000/-
TOTAL	2,50,000/-

Subsequent to the above date and till the date of approval of the Scheme by the Board of Directors, there has been no change in the authorized, issued, subscribed and paid-up share capital of the Transferor Company.

The entire issued, subscribed and paid-up capital of the Transferor Company is held by Welspun Realty Private Limited, a wholly owned subsidiary of the Transferee Company. Accordingly, the Transferor Company is a step down subsidiary of the Transferee Company.

3.2. The authorized, issued, subscribed and paid-up share capital of the Transferee Company as on 31 March, 2022 is as under:

Share Capital	Amounts in INR
Authorized Share Capital	
35,20,00,000 Equity Shares of Rs. 10/- each	352,00,00,000/-
2,55,00,000 Preference Shares of Rs. 100/- each	255,00,00,000/-
37,50,00,000 Preference Shares of Rs. 10/- each	375,00,00,000/-
26,00,00,000 Preference Shares of Rs. 1/- each	26,00,00,000/-
1,20,00,000 Unclassified Shares of Rs. 10/- each	12,00,00,000/-

Share Capital	Amounts in INR
TOTAL	1,020,00,00,000/-
Share Capital	
Issued, subscribed and paid-up Share Capital	
80,02,000 Equity Shares of Rs. 10/- each, fully paid up	8,00,20,000/-
29,91,17,528 6% Non Cumulative Redeemable Preference Shares of Rs. 10/- each, fully paid up	299,11,75,280/-
TOTAL	307,11,95,280 /-

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Subsequent to the above date and till the date of approval of the Scheme by the Board of Directors, there has been no change in the authorized, issued, subscribed and paid-up share capital of the Transferee Company.

CHAPTER II

AMALGAMATION OF NAKODA COTTON INDUSTRIES PRIVATE LIMITED WITH MGN AGRO PROPERTIES PRIVATE LIMITED

4. TRANSFER AND VESTING OF UNDERTAKING

4.1. With effect from the Appointed Date, the entire business and whole of the undertaking of the Transferor Company including all properties and assets (whether movable or immovable, tangible or intangible) of whatsoever nature such as licenses, permits, trademarks, quotas, investments, approvals, lease, tenancy rights, permissions, incentives, if any, and benefit of all letter of intent, request for proposal, prequalification, bid acceptances, tenders, contracts, deeds, memorandum of understanding, bonds, agreements, arrangements, track-record, experience, goodwill and all other rights, claims, powers and any other instrument and all other rights, title, interest, certificates, registrations under various legislations, contracts, consent, approvals or powers of every kind nature and descriptions whatsoever of all intents and purposes and specifically including but not limited to, the turnover, the profitability, performance, and market share of the Transferor Company from the commencement of its operations shall under the applicable provisions of the Act and pursuant to the orders of the Tribunal and without any further act, instrument or deed, but subject to the existing charges affecting the same as on the Effective Date be transferred and /or deemed to be transferred to and vested in the Transferee Company so as to become the properties and assets of the Transferee Company.

4.2. Without prejudice to Clause 4.1 above, in respect of such of the assets of the Transferor Company as are movable in nature or are otherwise capable of transfer by manual delivery or by endorsement and /or delivery, the same shall be so transferred by the Transferor Company, and shall, upon such transfer, become the property, estate, assets, rights, title, interest and authorities of the Transferee Company by way of physical delivery or novation. The investments held in dematerialized form will be transferred to the Transferee Company by issuing appropriate delivery instructions to the depository participant with whom the

Transferor Company have an account. Such delivery and transfer shall be made by passing necessary resolutions, if required and on a date mutually agreed upon between the respective Boards of Directors of the Transferee Company and the Transferor Company, being a date after the Scheme becoming effective. The moveable assets, other than those specified in clause 4.1 above, including intangible assets, actionable claims, sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits including deposits paid in relation to outstanding litigations, if any, with Government, semi-Government, local and other authorities and bodies, customers and other persons, shall, without any further act, instrument or deed, be transferred to and vested into as the property of the Transferee Company. The Transferee Company may, if required, give notice in such form as it may deem fit and proper to each person or debtor that, pursuant to the Scheme, the said person or debtor should pay the debt, loan or advance or make good the same or hold the same to its account and that the right of the Transferee Company to recover or realise the same is in substitution of the right of the Transferor Company and that appropriate entry should be passed in their respective books to record the aforesaid charges.

4.3. Without prejudice to any of the Clauses above, with effect from the Appointed Date and upon the Scheme becoming effective, all immoveable properties, including land together with buildings and structure standing thereon, whether freehold or leasehold, relating to the Transferor Company and any documents of title, rights, interests, claims, including leases, licenses and easements in relation thereto, shall, pursuant to the applicable provisions of the Act and the Scheme, without any further act, instrument, deed, matter or thing, stand transferred to and vested into the Transferee Company, as of the Appointed Date.

4.4. The transfer and vesting as aforesaid shall be subject to the existing charges / hypothecation / mortgages, if any, as may be subsisting and agreed to be created over or in respect of the said assets or any part thereof, provided however, any reference in any security documents or arrangements to which the Transferor Company are a party wherein the assets of the Transferor Company have been or are offered or agreed to be offered as security for any financial assistance or obligations shall be construed as reference only to the assets pertaining to the Transferor Company and vested in the Transferee Company by virtue of this Scheme to the end and intent that the charges shall not extend or deemed to extend to any assets of the Transferee Company.

4.5. All debts, liabilities, duties and obligations of whatsoever nature of the Transferor Company shall also, without any further act, instrument or deed be transferred to and vested in and assumed by and /or deemed to be transferred to and vested in and assumed by the Transferee Company pursuant to the provisions of the Act, so as to become the debts, liabilities, duties and obligations of the Transferee Company and further that it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which debts, liabilities, duties and obligations liabilities have arisen, in order to give effect to the provisions of this Clause.

4.6. The Transferee Company may at any time after the coming into effect of the Scheme in accordance with the provisions of the Scheme, if so required, under any law or otherwise, execute Deeds of Confirmation, in favour of the creditors of the Transferor Company or in

favour of any other party to any contract or arrangement to which the Transferor Company are a party or any writings as may be necessary to be executed in order to give formal effect 0484 to the above provisions. The Transferee Company shall under the provisions of the Scheme be deemed to be authorised to execute any such writings on behalf of the Transferor Company and to implement or carry out all such formalities or compliance referred to above on the part of the Transferor Company to be carried out or performed.

4.7. With effect from the Appointed Date and upon the Scheme becoming effective, all development rights, statutory licenses, permissions, approvals or consents, if any, to carry on the operations and business of the Transferor Company shall stand vested in or transferred to the Transferee Company without any further act or deed and shall be appropriately mutated by the statutory authorities concerned in favour of the Transferee Company. The benefit of all statutory and regulatory permissions, environmental approvals and consents, registrations or other licenses and consents shall vest in and become available to the Transferee Company pursuant to this Scheme.

4.8. This part of the Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under section 2(1B) of the Income Tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said Section of the Income Tax Act, 1961, at a later date including resulting from an amendment of law or for any other reason whatsoever, the provisions of the said section of the Income Tax Act, 1961, shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with section 2(1B) of the Income Tax Act, 1961. Such modification will however not affect the other parts of the Scheme.

5. ISSUE OF SHARES

5.1. The entire Issued, Subscribed and Paid-up Share Capital of the Transferor Company is held by a wholly owned subsidiary of the Transferee Company.

5.2. The provisions of Section 19 of the Act prohibit a company to hold any shares in its holding company and also prohibit a holding company to allot or transfer its shares to any of its subsidiary companies.

5.3. Therefore, upon the Scheme becoming effective, no shares of the Transferee Company shall be allotted in lieu or exchange of the holding by Welspun Realty Private Limited (i.e., a subsidiary of the Transferee Company) in the Transferor Company.

6. ACCOUNTING TREATMENT IN THE BOOKS OF THE TRANSFEREE COMPANY

Upon the Scheme becoming effective, the Transferee Company shall account for the amalgamation in its books of accounts as per the applicable Accounting Principles prescribed under Indian Accounting Standard (Ind AS) 103 and /or any other applicable Ind AS, as the case may be. It would *inter alia* include the following:

6.1. All the assets and liabilities recorded in the books of the Transferor Company shall be transferred to and vested in the books of the Transferee Company pursuant to the Scheme and shall be recorded by the Transferee Company at their respective carrying values as appearing in the books of the Transferor Company.

6.2. The identity of the reserves of the Transferor Company shall be preserved and they shall appear in the financial statements of the Transferee Company in the same form and manner, in which they appeared in the financial statements of the Transferor Company, prior to the Scheme becoming effective. 0485

6.3. If and to the extent there are inter corporate loans, investments, deposits or balances as between the Transferor Company and the Transferee Company, the rights and obligations in respect thereof shall, on and from the Appointed Date, shall stand cancelled.

6.4. The difference, (being excess / deficit), of book value of assets over book value of liabilities of the Transferor Company transferred to the Transferee Company, after making the adjustment as mentioned in Clause 6.2 and 6.3 above, shall be adjusted in Capital Reserve of the Transferee Company.

6.5. In case of any differences in accounting policy between the Transferor Company and the Transferee Company, the accounting policies followed by the Transferee Company will prevail and the difference till the Appointed Date will be quantified and adjusted to ensure that the financial statements of the Transferee Company reflect the financial position on the basis of consistent accounting policy.

7. CONDUCT OF BUSINESS TILL EFFECTIVE DATE

From the date of Board Resolution and up to and including the Effective Date:

7.1. The Transferor Company shall be deemed to have been carrying on and shall carry on its business and activities and shall be deemed to have held and stood possessed of and shall hold and stand possessed of all its properties and assets for and on account of and in trust for the Transferee Company. The Transferor Company undertakes to hold the said assets with utmost prudence until the Effective Date.

7.2. The Transferor Company shall carry on its business and activities with reasonable diligence, business prudence and may without prior written consent of the Transferee Company, alienate, charge, mortgage, encumber or otherwise deal with or dispose of any its assets, business or undertaking or part thereof.

7.3. All the profits or income accruing or arising to the Transferor Company or expenditure or losses arising or incurred or suffered by the Transferor Company shall for all purposes be treated and be deemed to be accrued as the income or profits or losses or expenditure as the case may be of the Transferee Company.

7.4. The Transferor Company shall not vary the terms and conditions of employment of any of the employees of the Transferor Company, except in the ordinary course of business or without the prior consent of the Transferee Company or pursuant to any pre-existing obligation undertaken by them, as the case may be, upto the Effective Date.

7.5. The Transferor Company and the Transferee Company shall be entitled, pending sanction of the Scheme, to apply to the Central / State Government, and all other agencies, departments and authorities concerned as are necessary under any law or rules, for such consents, approvals and sanctions, which may be required pursuant to this Scheme.

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8. TREATMENT OF EMPLOYEES

8.1. Upon the Scheme becoming effective, all staff, workmen and employees of the Transferor Company, who are in service as on the Effective Date shall become staff, workmen and employees of the Transferee Company, without any break in their service and on the basis of continuity of service, and the terms and conditions of their employment with the Transferee Company shall not be less favorable than those applicable to them with reference to their employment with the Transferor Company on the Effective Date. The Transferee Company agrees that the services of all such employees with the Transferor Company, up to the Effective Date shall be taken into account for purposes of all retirement benefits to which they may be eligible as on the Effective Date.

8.2. It is expressly provided that, upon the Scheme becoming effective, the Provident Fund, Gratuity Fund, Superannuation Fund or such other Special Fund, if any, or Trusts (hereinafter collectively referred as 'Funds') created for the benefit of the staff, workmen and employees of the Transferor Company shall, with the approval of the concerned authorities, become Funds of the Transferee Company, or shall be transferred to or merged with other similar funds of the Transferee Company for all purposes whatsoever in relation to the administration or operation of such Funds or in relation to the obligation to make contributions to the said Funds in accordance with the provisions thereof as per the terms provided in the respective Trust Deeds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Company in relation to such Funds shall become those of the Transferee Company. It is clarified that the services of the staff, workmen and employees will be treated as having been continuous for the purpose of the said Funds.

9. LEGAL PROCEEDINGS

If any suit, action, appeal or other proceeding of whatsoever nature by or against the Transferor Company is pending on the Effective Date, the same shall not abate or be discontinued or in any way be prejudicially affected by reason of or by anything contained in this Scheme, but the said suit, appeal or other legal proceedings may be continued, prosecuted and enforced by or against the Transferee Company, in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the Transferor Company as if this Scheme had not been made.

10. CONTRACTS, DEEDS AND OTHER ENTITLEMENTS ETC.

10.1. Subject to the other provisions of this Scheme, all contracts, deeds, bonds, insurance, letters of intent, undertakings, arrangements, policies, agreements and other instruments, if any, of whatsoever nature pertaining to the Transferor Company, which is subsisting as on the Effective Date, shall be in full force and effect against or in favour of the Transferee Company, and may be enforced by or against the Transferee Company as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary thereto.

10.2. The Transferee Company and / or the Transferor Company shall enter into and /or issue and /or execute deeds, writings or confirmations or enter into any arrangements, confirmations

or novations in order to give formal effect to the provisions of this Scheme. The Transferee Company shall be deemed to be authorised to execute any such deeds, writings or confirmations on behalf of the Transferor Company and to implement or carry out all formalities required on the part of the Transferor Company to give effect to the provisions of this Scheme. 0487

10.3. All taxes of any nature, duties, cess or any other like payments or deductions made by the Transferor Company to any statutory authorities such as Income Tax, Sales tax, Service Tax, Value Added Tax etc. or any tax deduction / collection at source relating to the period after the Appointed Date and upto the Effective Date shall be deemed to have been on account of and on behalf of the Transferee Company and the relevant authorities shall be bound to transfer to the account of and give credit for the same to the Transferee Company upon the passing of the order on this Scheme by the Tribunal or any other appropriate authority and upon relevant proof and documents being provided to the said authorities.

10.4. The Transferee Company is expressly permitted to revise its tax returns including tax deducted at source certificates / returns and to claim refunds, advance tax credits, excise and service tax credits, set off, etc., upon coming into effect of this Scheme. Its right to make such revisions in the related tax returns and related certificates, as applicable, and the right to claim refunds, adjustments, credits, set-offs, advance tax credits pursuant to the sanction of this Scheme and the Scheme becoming effective is expressly reserved.

11. SAVING OF CONCLUDED TRANSACTIONS

The transfer of assets, properties, and liabilities under Clause 4 above and the continuance of proceedings by or against the Transferor Company under Clause 9 above shall not affect any transaction or proceedings already concluded by the Transferor Company on and after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by on behalf of the Transferee Company.

12. DISSOLUTION OF THE TRANSFEROR COMPANY

Upon the Scheme becoming effective, the Transferor Company shall stand dissolved automatically without winding up in accordance with the provisions of Section 230-232 of the Companies Act, 2013.

CHAPTER III

GENERAL CLAUSES, TERMS AND CONDITIONS APPLICABLE TO THE SCHEME

13. APPLICATION TO TRIBUNAL

The Transferor Company and the Transferee Company shall with all reasonable dispatch make all necessary applications and petitions, to the Tribunal under applicable provisions of the

Companies Act, 2013, for seeking approval of the Scheme and all matters ancillary or incidental thereto. 0437

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14. MODIFICATION OR AMENDMENTS TO THE SCHEME

The Transferor Company and the Transferee Company by their respective Board of Directors, may assent to / make and /or consent to any modifications / amendments to the Scheme or to any conditions or limitations that the Tribunal and/or any other authority under law may deem fit to direct or impose, or which may otherwise be considered necessary, desirable or appropriate, subject to approval of Tribunal, as a result of subsequent events or otherwise by them (i.e. the Board of Directors). The Transferor Company and the Transferee Company by their respective Board of Directors are authorised to take all such steps as may be necessary, desirable, or proper to resolve any doubts, difficulties, or questions whatsoever for carrying the Scheme, whether by reason of any directive or orders of any other authorities or otherwise howsoever, arising out of or under or by virtue of the Scheme and / or any matter concerned or connected therewith.

15. CONDITIONALITY OF THE SCHEME

This Scheme is and shall be conditional upon and subject to:

15.1. The requisite consent, approval or permission of the Central Government or any other statutory or regulatory authority, which by law may be necessary for the implementation of this Scheme.

15.2. The Scheme being approved by the requisite majority in number and value of such classes of persons including the respective members and / or creditors of Transferor Company and Transferee Company as may be directed by the Tribunal or such other competent authority.

15.3. The sanction of the Tribunal under sections 230 to 232 of the Companies Act, 2013 in favour of Transferor Company and Transferee Company under the said provisions and the necessary order being obtained.

15.4. Certified or authenticated copy of the order of the Tribunal sanctioning the Scheme being filed with the Registrar of Companies by the Transferor Company and the Transferee Company.

16. EFFECT OF NON-RECEIPT OF APPROVALS

16.1. In the event of any of the said sanctions and approvals referred to in the preceding clause not being obtained and / or the Scheme not being sanctioned by the Tribunal or such other competent authority and / or the order not being passed as aforesaid before 31st December 2023 or within such further period or periods as may be agreed upon between the Transferor Company and the Transferee Company by their respective Board of Directors or any committee thereof, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and / or liabilities which might have arisen or accrued pursuant thereto and which

shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law.

16.2. If any Chapter (or part thereof) of the Scheme is invalid, ruled illegal by any Tribunal of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the parties that such Chapter (or part thereof) shall be severable from the remainder of the Scheme and the Scheme shall not be affected thereby, unless the deletion of such Chapter (or part thereof) shall cause the Scheme to become materially adverse to any party, in which case the companies (acting through its respective Boards of Directors), to which such Chapter (or part thereof) relates to and the Transferee Company shall attempt to bring about a modification in the Scheme, as will best preserve for the parties, the benefits and obligations of this Scheme, including but not limited to such Chapter (or part thereof).

16.3. The Transferor Company and the Transferee Company (acting through their respective Boards of Directors) shall be at liberty to withdraw the Scheme in entirety, or to decide not to give effect to any one or more of the Chapters contained herein, whether for the reason of any condition or alteration imposed by Tribunals or any other governmental / regulatory authority not being acceptable to them, or otherwise.

17. COSTS, CHARGES & EXPENSES

All costs, charges, taxes including duties, levies, and all other expenses, if any (save as expressly otherwise agreed) arising out of or incurred in carrying out and implementing this Scheme and matters incidental thereto, shall be borne by the Transferee Company.

Annexure "B"

NAKODA COTTON INDUSTRIES PVT. LTD.

Welspun House, 7th Floor,
Kamala Mill Compound,
Senapati Bapat Marg,
Lower Parel, Mumbai – 400 013.

Tel No.: 022 – 66136419
Fax No: 022 – 24908020
CIN : U17110GJ2004PTC045194

List of Assets of Nakoda Cotton Industries Private Limited ('the Transferor Company') as on 13 June 2023 to be transferred and vested to MGN Agro Properties Private Limited pursuant to the Scheme sanctioned by the Hon'ble National Company Law Tribunal, Ahmedabad Bench.

PART I

Free hold properties of the Transferor Company

Sr. No.	Survey No.	Area in Sq. Mtrs.	Description
			Nil

PART II

Lease hold properties of the Transferor Company

Sr. No.	Name of the Owner of the Property	Address of Property
		Nil

PART III

Other stocks, shares, debentures, any other charges in action of the Transferor Company

Sr No.	Particulars	No of share / units	Face Value / per share / units (INR)	Face Value (INR)
1	Equity shares of life insurance corporation of India	631	10	6,310
2	Bonds of 9.62% Andhra Pradesh State Beverages Corporation Limited	10	10,00,000	1,00,00,000
3	Bonds of National Highway Authority of India	500	10,000	50,00,000
4	Mutual fund units of SBI Liquid Fund Direct Growth	957.113	1,000	9,57,113

Part IV

Other Assets of the Transferor Company

Sr. No.	Particulars	INR
1	Interest receivable on bonds	15,814
2	Inter Corporate Deposits	5,00,00,000
3	Earnest Money Deposit	10,00,000
4	Balance with government authorities	5,92,784
5	Bank Balance	16,25,533
	Total	**5,32,34,131**

For **Nakoda Cotton Industries Private Limited**

DILIP CHOKHRA
Director
DIN: 08948132

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

Date: 13th June 2023